

Resolution, disputes, and settlement

This starts where RFQ acceptance ends: the request is FILLED, the position is OPEN, and escrow holds payout P (requester stake S plus maker collateral P - S). I separate deciding each market's result from paying the ticket. The sequence below shows who can act, when finality is possible, and when funds can leave escrow.

Read top to bottom. Solid arrows: calls / writes. Dashed arrows: returns. Frames: optional or alternative paths.

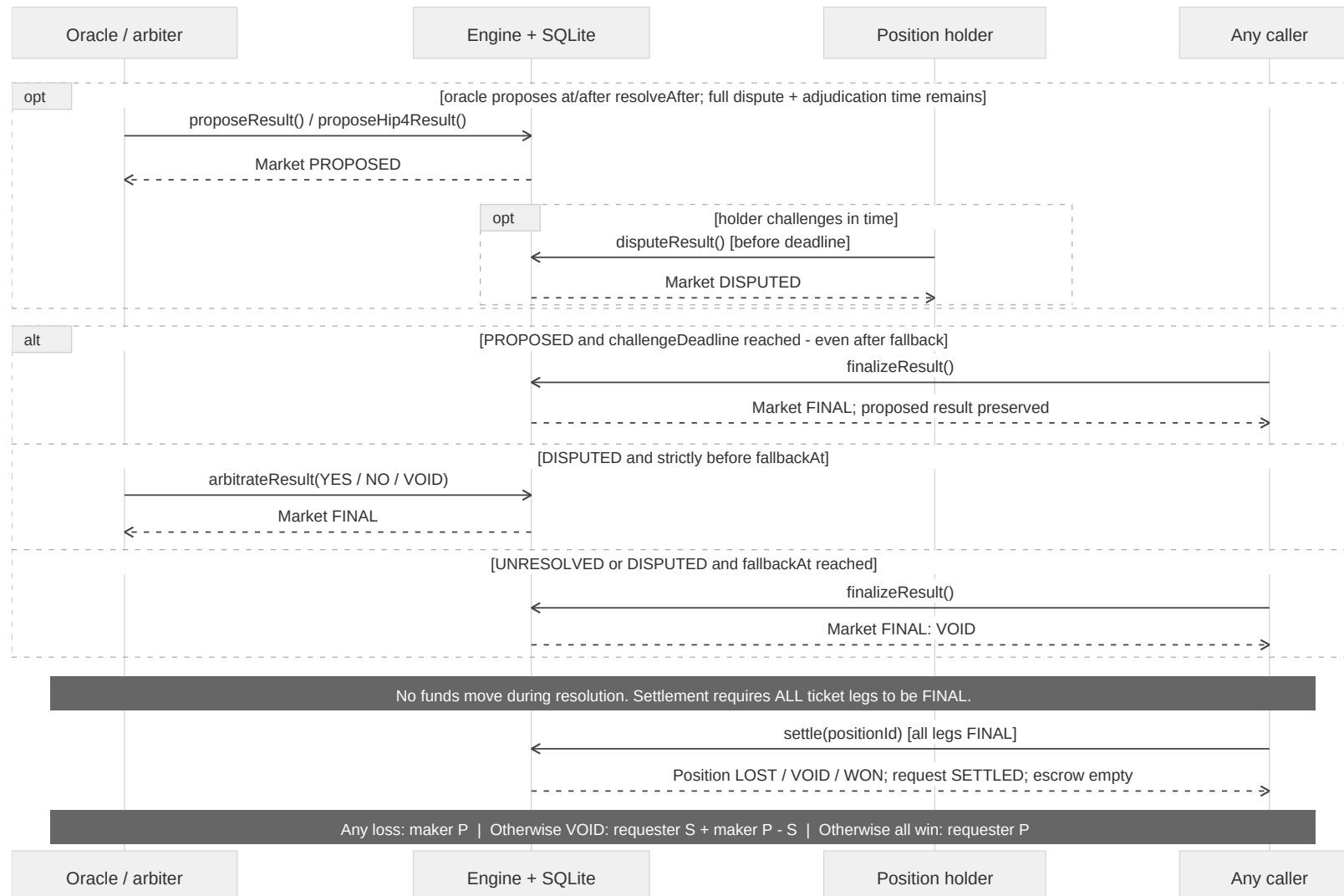


Figure 1. Funded position to payout. The following notes explain the deadline policy, ambiguous outcomes and payment order.

Resolution policy and fund release

What unlocks funds. Proposals and final results move no money. Once every leg is `FINAL`, anyone can call settlement; recovery can do the same. Even a known losing leg waits for the others. The alternatives in the diagram are mutually exclusive finality routes; settlement follows whichever route makes each leg final.

Commit the rules first. Each market fixes its wording, trading cutoff, earliest resolution time, oracle, arbiter, dispute period, adjudication period and fallback deadline. Immutable hashes bind those terms into requests and positions. Both periods must be positive and fit between earliest resolution and fallback. Neither a challenge nor a trading halt changes funded positions' rules.

Normal resolution. The designated oracle proposes `YES`, `NO` or `VOID` with evidence, no earlier than `resolveAfter`. Admission requires `now + disputePeriod + adjudicationPeriod <= fallbackAt`; a late proposal fails unchanged. The challenge deadline is proposal time plus the dispute period. At that deadline, anyone can finalize an uncontested proposal. A late caller preserves that outcome even after fallback.

Disputed resolution. Either counterparty to an open position containing the market may challenge strictly before the challenge deadline, recording a reason. The market becomes `DISPUTED`; neither deadline moves. Only its designated arbiter can finalize the dispute as `YES`, `NO` or `VOID`, with evidence, strictly before fallback. The reserved adjudication period guarantees time to act; it is not a mandatory waiting period. Final outcomes cannot change.

Delayed or ambiguous resolution. At or after the fixed fallback, anyone can finalize an unresolved or still-disputed market as `VOID`. Ambiguous wording is not interpreted by the engine: the oracle can propose `VOID`, or the arbiter can rule `VOID` following a challenge. Silence reaches the same fixed fallback. A `VOID` leg does not automatically refund a losing ticket.

Payment rule. Any losing leg pays the whole escrow to the maker. Otherwise, any `VOID` leg returns exactly `s` to the requester and `P - s` to the maker. Otherwise, the requester receives `P`. I do not remove legs or reprice. Transfers, terminal states and receipt commit together; an interrupted refund rolls back both transfers. Retries cannot pay twice.

Trust and liveness. Recovery is caller-driven and needs advancing trusted time and an available database. The oracle and arbiter are trusted mocks: a false ruling can pay the wrong real-world winner, and arbiter inactivity can force `VOID`. There are no dispute bonds or autonomous keeper.